

say, I counted how many patterns failed to see price rise more than 5% after the breakout.

Table 55.9 (busted patterns) had too few samples to show these tables.

Trading Tactics

[Table 55.10](#) shows trading tactics.

Measure rule, targets. The measure rule helps estimate the potential profit. To apply the measure rule and help you visualize its use, consider the chart shown in [Figure 55.4](#).

Subtract the lowest low in the rounding bottom from the right saucer rim. In the figure, the low is 25 and the right saucer rim is (arguably) 31.44 (point B), giving a formation height of 6.44. Add the height to the value of the right saucer rim to get the target price. In this case, the target is 37.88 and price reached that level in late January.

If you consider the right rim as the peak in November (at 35), then the target would be higher, $(35 - 25) + 35$ or 45. If the right rim is missing, then don't bother looking for it. Just use the price of the left rim.

The bottom portion of the table shows how often the measure rule works. We used the full height in the example, and in bull markets, price reaches the target 65% of the time on average. If you cut the height in half, you can increase the chance of price reaching the closer target.